

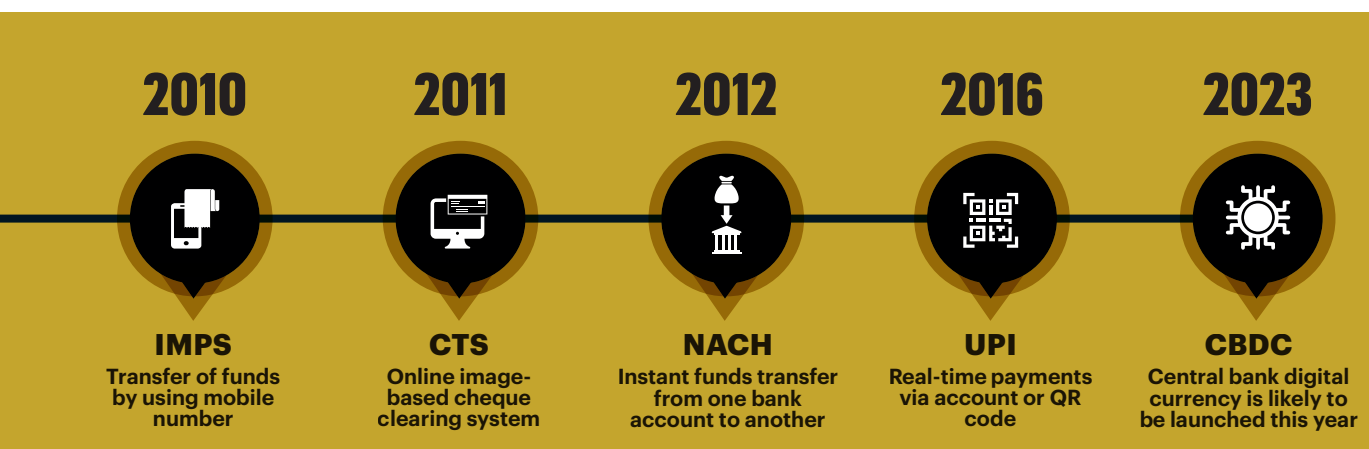
many applications on the cloud for faster turnaround times. They are also launching digital products. For instance, HDFC Bank has created ZipDrive, a digital auto loan product that provides quick auto loan onboarding for existing bank clients. The bank has signed up 1,000 dealers to provide end-to-end auto loans in less than half an hour. The product's attractiveness is that it is fully paperless and digital. Similarly, ICICI Bank has unveiled its digital mortgage product called iLens. The digital journey for a mortgage product is something which no bank is able to solve because of physical land re-

work in 2021. AA puts power in the hands of customers to give consent to their banks to share personal as well as financial data with other institutions. This will help third-party lenders make better offers and provide attractive savings and investment products. "This is the biggest innovation that is taking shape," says a public sector banker.

Globally, the AA framework has a few precedents. Some five years ago, the UK and Europe started with the Payment Services Directive, or PSD, which allowed the sharing of data by traditional financial institutions. The RBI's AA framework also puts

"Supply chain financing is in its infancy in India because it needs quality data, a better evaluation method for SMEs in the manufacturing and services sectors, and a digital framework to get quality data. The AA framework, along with discounting platforms, UPI and ONDC [Open Network for Digital Commerce], will connect the dots for a better model. These frameworks present an opportunity that is unimaginable," says Niraj Hutheesing, Founder and MD of Cygnet Infotech, an IT solutions company.

And in this system, there are less chances of fraud because the data is



SOURCE RBI

cords and the high loan amount. This new solution is for all customers, including those who have never had a bank account with the private bank. The banks have, thus, already begun their digital journey to remain competitive and win over millennials.

OPEN BANKING

The next big thing in 2027 could be open banking. There is now a new layer of open banking—the RBI made the first move by launching the Account Aggregator (AA) frame-

the power in the hands of the customer to leverage it to their advantage by getting a good deal. There are other information providers, like insurance companies and credit bureaus, joining the AA framework. GSTN has recently joined as a financial information provider under the AA framework.

The use cases of AA will be in the MSME segment, where the free flow of information, like scanned and encrypted copies of bank statements and KYC, etc., about a customer will strengthen cash-flow based lending.

encrypted and comes from a regulated source. "The encrypted data flows from the person who owns the data to the person who wants it, based on the customer's permission," says Hutheesing. More and more banks are being integrated into this new open banking ecosystem.

Over the years, banking has shifted from co-operative banks to public sector banks to private banks because of better service and more power in the hands of customers through ATMs, internet banking and mobile banking, say experts. Now,